

happier than when I'd closed the commodities account with an actual \$265 profit. To say that the average investor is delighted to make money and depressed to lose money is an oversimplification. In my experience, I'd have been delighted to sell a stock for a profit only if the stock price didn't go higher from there. If the price did go higher, then I'd feel depressed and stupid for having sold prematurely. In fact, I was much happier taking a big loss in something that's going even lower than taking a small profit in something that's going higher. This was the great mystery of investing.

"You should have heard our market expert, Larry Wachtel," Linda Garrett told me the day we sold. "The most negative he's ever been. Sounded like we're going into a Depression." I told her I was elated to be out of it. Then she added: "But if people like you are selling everything, then it's a sure sign the market will go up."

That last remark made a delayed impression, and I was only out of the market for two weeks. One advantage of short-term trading—my new specialty—was, once you realized how quickly you'd lost, you also realized how quickly you could gain it back. A long-term drop in a stock price might take years to correct itself, but a loss in options could be covered on the very next position.

I knew I needed to change my strategy, and so I did. In Chicago, I'd bought the Loews calls and sold the Loews puts simultaneously. Since this resulted in the loss, I decided to try something more conservative: buying an in-the-money call and selling an out-of-the-money call against it. I won't try to explain the strategy, since even if I could, you'd be better off not knowing how to do it. But you see how much I'd been learning. No longer could I consider myself an amateur options player.

I searched the newspapers looking for a certain kind of in-the-money versus out-of-the-money spread that would cost \$200 or less per contract and might return up to \$500 per contract. With this kind of spread, there was hardly a way I could lose. The one way I could lose was if both options ended up out-of-the-money, which could only happen in a severe correction or a bear market. Mr. Wachtel's remarks notwithstanding, the majority of advisors were still bullish. We'd been in a great market for most of the